
THIRD READING

Bill No: SB 531
Author: Wieckowski (D)
Amended: 4/29/21
Vote: 21

SENATE BANKING & F.I. COMMITTEE: 7-2, 4/7/21
AYES: Limón, Bradford, Caballero, Durazo, Hueso, Min, Portantino
NOES: Ochoa Bogh, Dahle

SENATE JUDICIARY COMMITTEE: 9-1, 4/27/21
AYES: Umberg, Caballero, Durazo, Gonzalez, Hertzberg, Laird, Stern,
Wieckowski, Wiener
NOES: Jones
NO VOTE RECORDED: Borgeas

SENATE APPROPRIATIONS COMMITTEE: Senate Rule 28.8

SUBJECT: Consumer debt

SOURCE: Author

DIGEST: This bill requires specified notices to be provided to debtors in connection with the sale or assignment of delinquent consumer debt. This bill also establishes certain documentation requirements for debt collectors and provides a right to request specified information from those collecting on sold or assigned delinquent debt.

ANALYSIS:

Existing federal law:

- 1) Provides the Fair Debt Collection Practices Act (FDCPA) which prohibits deceptive, unfair, and harassing debt collection activity. (15 U.S.C. Section 1692 et seq.)

- 2) Requires a debt collector to send a consumer a written notice containing information validating the debt, including the amount of the debt and the name of the creditor to whom the debt is owed. Provides the consumer with 30 days to dispute the debt or to request the name and address of the original creditor, if different from the current creditor. (15 U.S.C. Section 1692g)

Existing state law:

- 1) Regulates the collection of consumer debt under the Rosenthal Fair Debt Collections Practices Act (Rosenthal Act), which generally prohibits deceptive, dishonest, unfair, and unreasonable debt collection practices by debt collectors and regulates the form and content of communications by debt collectors to debtors and others. (Title 1.6C of Part 4 of Division 3 of the Civil Code, Section 1788 et seq.)
- 2) Regulates the activities of a debt buyer, including requirements for debt buyers to have specified evidence of the origin, balance, payment history, and ownership history of a charged off consumer debt and to provide this evidence to a debtor upon request. (Title 1.6C.5 of Part 4 of Division 3 of the Civil Code, Section 1788.50 et seq.)
- 3) Prohibits a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses specified information, including the date of default or the date of the last payment. (Civil Code Section 1788.52)
- 4) Defines a “debt buyer” as a person or entity that is regularly engaged in the business of purchasing charged-off consumer debt for collection purposes, whether it collects the debt itself, hires a third party for collection, or hires an attorney-at-law for collection litigation.
- 5) Defines “charged-off consumer debt” as a consumer debt that has been removed from a creditor’s books as an asset and treated as a loss or expense.

This bill:

- 1) Defines, pursuant to the Rosenthal Act, “delinquent debt” as a consumer debt, other than a mortgage debt, that is past due at least 30 days and has not been charged off.
- 2) Prohibits a creditor from selling or assigning a delinquent debt to a third party unless the creditor has provided notice to the debtor within five days after the sale or assignment that contains the dollar amount of the outstanding debt and

the name of the party to whom the debt will be sold. Requires the creditor to provide the notice to the purchaser or assignee of the debt that is the subject of the notice.

- 3) Requires a debt collector to which a delinquent debt has been assigned for collection to provide to the debtor, upon the debtor's written request, a statement that includes all of the following information:
 - a) That the debt collector has authority to assert the rights of the creditor to collect the debt.
 - b) The debt balance and an explanation of the amount, nature, and reason for all interest and fees, as specified.
 - c) The date the debt became delinquent or the date of the last payment.
 - d) The name and an address of the creditor and the creditor's account number associated with the debt.
 - e) The name and last known address of the debtor as they appeared in the creditor's records before the assignment of the debt to the debt collector.
 - f) The names and addresses of all persons or entities other than the debt collector to which the debt was assigned. The names and addresses shall be in sufficient form so as to reasonably identify each assignee.
 - g) The California license number of the debt collector.
 - h) A copy of the notice sent by the creditor that the delinquent debt was being sold or assigned, as specified.
- 4) Prohibits a debt collector to which delinquent debt has been assigned from making a written statement to a debtor in an attempt to collect a delinquent consumer debt unless the debt collector has access to proof of contract, as specified, and a copy of the notice described in 2) above.
- 5) Requires a debt collector to provide the information described in 3) above within 30 days of a debtor's request, as specified. Prohibits debt collection activity after the 30-day window if the information is not provided, as specified.
- 6) Requires a debt collector to which delinquent debt has been assigned to include in its first written communication with the debtor a prominent notice about the debtor's rights to request records described in 3) above.

- 7) Prohibits a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses the required notice described in 2) above.

Comments

According to the author's office, consumers are being sued by debt collectors who sometimes lack sufficient documentation to identify where the debt originated. In some cases, a debtor may ask the debt collector to provide information required by the Fair Debt Buying Practices Act (FDBPA), such as proof that the debt collector has the right to collect the debt and sufficient information so that the debtor can determine if they are the correct debtor and if they actually owe the debt. In cases where the debt in question was not charged off and sold, the debt collector does not have any legal obligations under FDBPA, which covers charged-off debts. This leaves the debtor with the burden of conducting their own research to determine if the debt is really theirs and whether they owe the amount claimed by the debt collector.

If all debt collectors had a reputation for accurate recordkeeping, then this bill may not be necessary. In practice, however, some debt collectors have behaved in a manner that casts doubt on their ability to prevent innocent consumers from being held liable for amounts they do not owe. Debt collectors have sued the wrong person, sued on inaccurate amounts, or have sued with incomplete information.¹ Although federal law applicable to debt collection establishes some validation requirements of a debt, the author's office argues that federal law is insufficient to protect consumers due to the less comprehensive definition of "debt collector" under federal law and the lack of more specific validation requirements that inhibit a debtor from defending against the claim.

Delinquent vs. charged-off debts

The author intends for this bill to improve transparency for consumers who are subject to collections activities, regardless of whether their debt has been charged off or is only delinquent. As discussed in the next section, existing law provides transparency for consumers if the debt related to the collections activity has been charged off. The term "charge off" generally refers to the situation where a creditor, in compliance with generally accepted accounting principles, determines that a loan will not be repaid as agreed upon and removes that loan from its balance sheet. Instead of the loan serving as an asset representing an investment

¹ <https://www.responsiblelending.org/sites/default/files/nodes/files/research-publication/crl-california-debt-oct2020.pdf>

that will provide a profit over time, a charged-off loan is an expense that reduces the creditor's profit because the debtor is not expected to repay the loan. In some cases, the creditor will attempt to sell the charged-off debt to a debt buyer who purchases the legal rights to act as the creditor in attempting to collect the debt. A person who attempts to collect a charged-off debt is required to comply with the state FDBPA, in addition to the state and federal versions of the FDCPA when engaging in collections activities.

A delinquent debt describes a debt where the consumer has fallen behind on their loan payments. Falling behind on loan payments is a fairly common event and does not necessarily mean the loan will ultimately be charged off, though a loan that remains in delinquent status will eventually be charged off.² When a loan falls into delinquent status, some creditors decide to assign the debt to a third-party collector, often because the third party may have comparative advantages relative to the creditor in collecting past-due accounts. In cases where the transfer of the debt is not structured as a charge off and sale, the third-party collector is not subject to the requirements of the FDBPA, which contains stronger validation requirements than the federal Fair Debt Collections Practices Act to which the third party must comply.

This bill creates similar documentation requirements for delinquent debts as existing law requires for charged-off debts

In 2013 California enacted FDBPA in response to concerns that debt buyers were attempting to collect debts that were attributed to the wrong consumer, time-barred and thus unenforceable, and debts that were already repaid. The FDBPA covers consumer debts that have been charged off. The law requires, among other things, that a debt buyer possess specified information related to the debt prior to attempting to collect, including specified information about the debt buyer's authority to assert rights as the creditor to collect the debt, the debt balance, the date of default or last payment, identifying information about the debtor, and identifying information about the creditor and any person who has purchased the debt since it was charged off. These requirements were established to prevent situations where creditors were selling charged-off debts to third parties with little or no supporting documentation, leading to collections activities that targeted the wrong consumer or targeted the correct debtor for an incorrect amount. This bill borrows heavily from the documentation requirements of the FDBPA and applies those requirements to debt collectors collecting delinquent debts. If enacted, this

² Accounting requirements and practices differ somewhat between types of creditor. Bank regulatory accounting requirements state that open-end accounts should be charged off after 180 days of delinquency and that closed-end accounts should be charged off after 120 days (source: <https://www.gao.gov/assets/gao-09-748.pdf>).

bill would provide similarly situated debtors with access to similar information that may help them defend against the claim of a debt collector.

FISCAL EFFECT: Appropriation: No Fiscal Com.: Yes Local: No

SUPPORT: (Verified 5/11/21)

Center for Responsible Lending
Neighborhood Legal Services of Los Angeles County
Public Law Center
Western Center on Law & Poverty, Inc.

OPPOSITION: (Verified 5/11/21)

California Association of Collectors, Inc.
California Bankers Association
California Credit Union League
California Creditors Bar Association
California Financial Services Association
California Land Title Association

ARGUMENTS IN SUPPORT: The Center for Responsible Lending and Public Law Center, a 501(c)(3) legal aid organization, argue that the FDBPA helped to address issues of debt buyers collecting the wrong debts and believe that this bill will help to prevent similar situations in the context of collecting delinquent debts. The organizations also state their belief that the creditor notification requirement will reduce a consumer's suspicions of fraud or scams when the consumer is contacted by a collector with whom they have not previously interacted.

ARGUMENTS IN OPPOSITION: The California Bankers Association, California Credit Union League, and California Creditors Bar Association argue that this bill is premature given expected federal rules related to debt collection that may go into effect soon. The organizations also state that several terms in this bill require further defining and refinement, including "delinquent debt" and "assigned for collection," but the organizations do not provide specific recommendations for how these terms should be defined.

Prepared by: Michael Burdick / B. & F.I. /
5/12/21 15:32:49

**** END ****